

# 2026 Jul 23 Repair Negotiations w Craig

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## 00:00:02 Speaker 1

Okay, so where we at? We're July twenty third already. It's awesome. Um, the season is flying by. And just the way pipelines work, by the time October rolls around, it feels like it's the end of the year already. So it's like we're we're approaching fast. Um okay, we're going to hit a unique topic repair negotiations. It's something that there is a way to do it successfully, And I'll give some of the tips that I do to help this really be successful. And I know this is sort of role play, but it's scripting as well. And so, I mean, I'm going to sort of give you the scripting and the methodology I use to help repair negotiations to be successful. And, we can cover this from the viewpoint of the seller and the buyer, because there are things you can do on the seller side to really mitigate the negotiations and their requests and things you can do on the buyer side to maximize it. So.

## 00:00:59 Speaker 1

Let me, let me first hit the buyer side, and then we'll get down to the seller side next after. So, from the buyer's side, I'll share with you. The things that I feel like are are the most successful to negotiate. Typically, um, I think they fall into a few buckets and bucket number one is safety. And when you focus the negotiations on these are safety items it becomes pretty It becomes easier to negotiate those things. So, hey, the buyer would really like this, that or the other. If you phrase it like that, I am going to as a seller immediately try to beat you up and say, well he'd like this, like that, like this. Well that's sort of like preferential, but it sounds like the buyer is still going to go forward regardless. When I come in and say, these are significant safety concerns that could cause the buyer to withdraw. Or you can just say that will cause the buyer.

## 00:01:57 Speaker 1

Will cause the buyer to withdraw if not satisfied. When you say something along those lines, it makes it sound like there's no room for negotiations. And that's what you want to do in the repair request because it's nothing, No skin off the buyer's back if they come in strongly, because the worst thing is a seller will say no and you're still under contract. And so I will often use the phrases, such as these concerns are significant enough that the buyer will withdraw, if not mitigated. Something just like that, you use that phrase You're going to scare the seller. Even if the buyer is like, I don't care if they fix them or not, I'm still going to buy. You don't want to convey that feeling to the listing agent because then you're not going to get anywhere in the negotiation. So, you have to get permission from your buyer to

come across stronger in the negotiation and say, look, I'm going to come across and tell them that if these aren't repaired, you're going to back out. That's super helpful verbiage now.

#### **00:02:49 Speaker 1**

We're obviously in a buyer's market. It's easier to negotiate things, but in a seller's market, That's where you can sort of test this and see if these same principles can apply and be successful. If they can succeed in a seller's market, they'll succeed in any market. And so dropping it first into a bucket of safety that's super helpful. So, those things are going to be pretty much any electrical item that you find all will fall into the safety bucket. Um, I I will even throw plumbing into that, That are leaky leaky plumbing issues because that, that creates mold problems. And um you know, potential structural issues to the home, but depending where the leaks are. So, Plumbing, leaks and electrical issues are like no brainers in my opinion on any of these. Now where it gets even, but where the request gets even dicier is on these older homes you could have electrical that's completely working.

#### **00:03:44 Speaker 1**

And you might not have any double tapped wires. You may not even have any ungrounded outlets. And all what you're dealing with is an older panel that may have known failure rates. And you can look up the failure rates of some of these panels. Some like my inspector I use is really good at identifying, saying, hey, this is a panel that's working but it's sort of it's known to fail. It's good enough in my brain to be able to say, "Here is a safety issue. We want this panel replaced." And so plumbing that's actively leaking, like electrical that's deficient or even sometimes you can come in when it's old. Even like aluminum wiring, I've had some success in negotiating some credits on that. There are ways to make the aluminum wiring safer. It's harder to get a whole house replacement for aluminum wiring.

#### **00:04:43 Speaker 1**

But there are methodologies electricians can use to improve the safety of that system. And I don't remember the name, it's like pigtail. There's some other things that they can do that I would recommend. Now, you don't need to just go after electrical or plumbing. And I guess this next one is a plumbing issue too, but this is one that's less commonly discussed, But I think it's significant enough that you at least need to bring it to your buyer's attention. And that is galvanized water lines. Those have potential for breakdown, corrosion, which can get into the drinking water. Sometimes even containing lead. So when I offer on an old home, the inspection shows hey this the main water line's galvanized. I will ask for its replacement citing safety concerns. So I'll drop that into the bucket. Well, this safety issues reminding, even like in your repair negotiation email stating like it just as you know.

#### **00:05:42 Speaker 1**

Sort of hinting at the fact that seller, if you don't take care of it for us and we back

out, you will need to disclose these items to the next buyer. So you could use that kind of verbiage in your repair negotiations as well. So I've gone after galvanized water lines and had multiple successes this year, plumbing issues, electrical issues. And certainly I could throw potentially into that bucket sewer mainline. Now that I think that that one is a pretty easy negotiation. Like, I've if you if you have it scoped and find that there's issues, bet sellers. I've seen sellers always help with that, so that one's not hard to like get across the finish line. But but I always recommend getting sewer scopes. Some people scope even brand new, which to be safest you can and probably should. I haven't necessarily.

#### **00:06:37 Speaker 1**

I typically will recommend, say, here are all the tests. I always recommend all of them. On paper, that's the way to go. You could say your risk reduces somewhat on new construction, but it's not gone. It's not the risk is not like zero that there's an issue with the water, that the sewer line is you know good or not good. Like there's there's still potential for risk. Same with meth tests like it's lower on new homes than it is on old homes. There's a lower risk, but the risk still exists in every single home, so I always recommend everything. And if and if you want to save money, your risks are lower here, but they're not nonexistent. So just FYI. And if you set things up like that, You're putting your buyer setting up your buyer for success and also limiting your reliability at the same time. Um deck I just had a brand new like I had a an inspection come in this week where the deck was wobbling and had some issues. I just negotiated over twelve thousand dollars for a brand new deck and successfully got that across the finish line sighting again, safety issues. These are safety issues.

#### **00:07:36 Speaker 1**

We can't buy this. This is a safety problem. So, those are that's one bucket to throw it into. And like I've again, I've succeeded really really well meth obviously a safety problem, a health issue, safety or health you could you know throw that into the same thing. Safety and health is a bucket that's like, hey, these are set set health and safety items that the buyer needs done, otherwise they're not going to buy radon, obviously. Is an issue too. And let me clarify on radon and meth real quick. There are certain levels where I've found it to be successful to negotiate and certain levels where I have found. It's not successful to negotiate, just based on numerous of these negotiations. On radon, four point zero is where the magic number is. If it falls below that, it's difficult to get a seller to replace, you know, to help with radon. In a buyer's market, you might be able to get some radon help at a high three, but I've.

#### **00:08:33 Speaker 1**

I haven't pressed that, but it's it's that one is in a in a seller's market. You're never going to get help above four points unless it's four point zero or above. Um, note if you have a crawl space, you could still do a radon test and if it is unfinished crawl

space, it's more expensive to actually put in a radon system like double just FYI. It's like three K or more. It's more expensive um, So radon and then meth, where I found the magic. Obviously, the state's number is one point zero, and that's on the divided out number. So you have your when you get your meth results, You've got your aggregate number on the left side and then your divided out number in the middle. It's the middle number that the state is concerned about. So if you took, you know it comes in at a four and the inspector swabbed four areas, you're going to come in at a one point zero.

#### **00:09:26 Speaker 1**

If if it comes out a like two and he swabbed four areas, it's going to come out a point five. State's not going to be worried at point five. So, what what I've found is this depending on sort of what we will call it a trace amount. If it comes in below the one point zero, it's now what is considered a trace amount, and I have at times been able to successfully get cleanses done. On trace amounts, but where I focus that conversation is the furnace HVAC system. That's typically where that trace will have congregated. And it's also possible, and I use this math with the sellers for justification. Let's say your aggregate amount comes in at a two, and you did four swabs, and so those four swabs now reduce it to a half.

#### **00:10:18 Speaker 1**

Well, It's possible that 100 % of the meth that was found came in on one swab. And, this why I don't like this, the way that the math state has come up with their math on this. But this the way they do it. So that means that if it came up, If you only had swabbed that one spot and it came in at a two, suddenly then home's contaminated and the state's going to require a clean. And so the hot spots are the cold air return, like the furnace area, the H VAC. So, typically speaking, when the aggregate score exceeds one, anytime the aggregate score exceeds one but is less than the state limit. But I go in there and I will often say, "Hey buyer, we may be able to get the seller to pay for a cleanse," but it'll probably be focused on the HVAC system. And it's possible one of those swabs.

#### **00:11:11 Speaker 1**

Came up as a two in a bedroom, but it's not typical. It's just based on historical, you know, evidence. So I can usually go back to seller and say, hey look, they want a meth cleanse on the H VAC system. It's possible that the entire score that came up on that two was in the furnace H VAC system, and that, that is indeed contaminated. Using that logic has helped me get that one across the finish line. It's not crazy expensive to get a cleanse on the furnace H VACs maybe, Seven hundred to fifteen hundred dollars, somewhere in that range. It's probably creeping toward the higher end of it now, but it's probably in that range. But that's different than like, say, four or five thousand bucks plus replacing carpets and things like that. So I've been able to get that one across the finish line. Now where it's you are not going to have a prayer on anything like if you are if your aggregate numbers like below one, You are

not going to get help on anything because because what we we have now proven is.

**00:12:07 Speaker 1**

Despite the fact you swabbed several spots, you still couldn't get that up above to where the state's, you know, concerned. So, even if all of it came in on one swab, and it came in at a point eight, that that's still below the state's level of concern. So it's more difficult than that moment to get it across the finish line. You could still try and and I try if it's near one. I'm still going to try if it's near aggregate on the one is the aggregate. But I've had a lot of them coming in lately at like point four and like point. Point four two like four four and then divided out amounts point one one, like it's that's traced so low that I that this is what I've seen. Buyers are not back in the day. Buyers were getting scared of it. They're not getting scared of it now because in part, mostly because agents are more educated on this, and the industry as a whole. And um and I've. So buyers aren't scared about it and I've found it coming up without any issue on a resale.

**00:13:03 Speaker 1**

So I don't find it affecting resale. I don't find it affecting the purchase. So it's just not been an issue when it comes in that low. And I've had probably two or three this year come in at really low traces. The other thing to note is point one zero is the limit of detection. And so sometimes like, I've had some come in at like point one one. I mean, That's pretty much as low as you're going to get where the instrument can even detect the meth was there. So it's super, super tiny. Anyway, so that that's sort of where I handle the meth negotiations. But so that's sort of the safety and health thing. Now, those are my opinion. Those should be easy to get across the finish line, And you're basically using the verb "they've" is saying, these are self. These are significant serious. You know, serious safety and health concerns to the degree that the buyer would back out.

**00:14:01 Speaker 1**

If these are not fixed, and you just use that kind of verbiage, and I've found sellers say, "Okay, I am coming to the rescue and I'll come and fix this. You either get it fixed or you get it credited or you have purchase price reduction or a combination of stuff like that." Now the next bucket, And this one's a little bit tougher to get across the finish line, but is nonetheless still important. And I am going to share with you what I do to help manage. This next section of items. So when you are dealing with H VAC age and roof, okay. So when I say H VAC, you are talking about the furnace, the air conditioning and the water heater. Um typically, so you are dealing with those three items and then the age of the roof. As I as a buyer representative before every offer.

**00:14:57 Speaker 1**

I ask the listing agent, "What are the ages of these items?" Because I want to know before I go in and submit an offer what those look like. Because I am trying to

negotiate this in part upfront because sometimes it's difficult after the fact. Because the counter from any seller will be, "Well, I gave you a home warranty." Or if you didn't give them a home warranty, they'll say, "I'll just buy you a home warranty." Well, that's not going to be enough. Fine, I'll buy you a two - year warranty at some point because they're going to say that these items are working. So obviously, if they're deficient and not working, that's pretty easy to get the negotiations to, you know, hey look, the furnace didn't ignite. Of course they're going to help with that. But let's say the furnace is working, the AC is working, water heater is working but they're all old. As the listing agent, so I'm sort of bouncing over to the seller side I'm just going to say, look, I'm buying The seller's buying you a warranty you're fine. Yeah, but that's not going to be enough They're gonna have to replace it soon. Extend the warranty, then have the seller buy two year warranty.

#### **00:15:55 Speaker 1**

Um, and then if and if those two years hasn't broken buyer, you can buy it pay for any extension of the warranty yourself. Which is, by the way, what I did when I bought my home and seller refused, refused, refused to help with these things. Um gave me bought me a warranty. I did hammer on my price. That's where I got it. So like I hammered that guy on price up front because I knew these things rolled, then I tried to take a second bite of the apple didn't work. But but what i tried what i try to do is this is i i. Up front, I say, "What's the age of the roof, H VAC furnace, water heater?" And then I use those. If I find out all of those are old, that's when I'm trying to. I go back to my client and say, "Look, these are all old. They're all working according to the seller. They're all old. " It's not likely for us to be able to just go in there and say, "Hey we want brand new all of this stuff." What is likely is for us to get a warranty. And, what's also likely is we can use it at this stage of the negotiation right now to get you a significant price reduction. So.

#### **00:16:53 Speaker 1**

That's what I do. I will say, "I come into the buyer and say, 'or seller, seller. I recognize that you know our offer is fifteen thousand dollars below list price or twenty thousand something like that. ' The reason why we're off. We have offered here is the roof is old. They've H VAC furnace and water heater. Those collectively are probably going to be the roof, and these other items thirty to thirty to thirty five thousand dollars. We're coming in at twenty thousand below." And as long as those are indeed in working condition during the inspection, We are not going to come back, and you know, discuss any of those items with you. But we're negotiating with the upfront with the price reduction or you could do concessions right now. And so I negotiate that upfront. And that way, it doesn't become a weird negotiation after the fact. And the seller will feel very confident because.

#### **00:17:36 Speaker 1**

If if the big ticket items are negotiated up front, They know that you know they'll be able to handle the small things with you after after due diligence. And, so they're



going to feel very appreciative that you've handled it in this way. I've succeeded so many times on this. I've got significant price reductions on homes straight up at the very beginning and had things go through smoothly after the fact. And so I like to do that with all of these. The other thing that then happens, let's say they came and say, oh yeah, the furnace is, Five years old, and you find out after the inspection it's fifteen years old. Guess what? You have a clear runway to hit them with a bat. And so I've done that many times too. Say hey, you know what? You know we thought that the root the furnace was five years old. Turns out it's fifteen. We did not anticipate that. Yes, it still has life yet left. Yes, it's still. You know, it's in working condition. But when we offered we offered under the assumption, it was five years old. Therefore, it will be replaced sooner than like.

**00:18:35 Speaker 1**

Sooner than later, like maybe within a ten four years or whatever, You might be able to come in and get a credit of some kind because of because of that. Um mis, you know, misrepresentation inadvertent misrepresentation up front. Um. So that's what I would highly recommend. You do is try to negotiate that at the beginning. Now sometimes sometimes uh you know, maybe you didn't get that negotiated at the beginning, that's fine or sometimes you sort of get into it and Let's say the seller is like, "I am not giving you a reduction. I am not giving you a reduction because of these old things." You could say, "Okay, Well, we will then during you know, during the negotiations, like let's go under contract. We'll send out an inspector and contractors will look at it then. " And I have done that too as well and had the roofing contractors come back, saying, " Y eah this roof is shot, or this roof is like has two or three years life left, or whatever it may be."

**00:19:32 Speaker 1**

I have successfully been able to negotiate, I think, three roofs this year. Three. Uh and and probably two in the last like couple months. Um so anyway, And by the way, Avery has got a great roofer, just uh. So you know, I came in with a really he set eighteen thousand dollars on a brand new roof, whereas everybody else was coming in twenty five to twenty seven. So, just FYI Avery's got a guy. He's got a guy. And so that helped with one of my negotiations. But on that one, I'll tell you what happened is I forgot. This is one where I just didn't ask that question up front. I don't know why. It might have been a busy weekend or whatever. I just didn't get that information we negotiated, went under contract, my inspector went out there, hey this roof's got some problems on the south facing shingles. The rest of it looks maybe okay. Roofer went out there and said south facing is pretty much immediate, the other stuff's maybe three or four years behind.

**00:20:31 Speaker 1**

Um, And this is where I felt bad, because now I am coming back to the seller, you know, saying hey look t here is a roof problem. But, we were able to work through that one get that one negotiated in part because it's a buyer's market right now. But

I recommend all those other things being addressed up front. I just do, And I found that to be much more successful if you are in a multiple bid situation. You you May not address that up front and intentionally just go under contract. If you're like, man, there are multiple offers coming in, don't address it up front. Get it under contract and then try to address it down the road. That's probably going to be safer because you're not going to win the bid otherwise. And so if you sense you're in a multiple offer situation, don't ask for the ages of the HVC and roof upfront. Just figure that one out afterwards. So for that for that one where you've got with eighteen k, are you finding in this market that folks will.

**00:21:27 Speaker 1**

Give the concession for it or just replace it before closing or after closing. Yeah, great question. I'm finding that all of these are these are getting negotiated with uh with contract. Uh sorry, concessions given directly to contractors at closing. So yeah, so we're we're literally naming on the settlement statement the contractor And, what's what's nice about this is it doesn't show up on the buyer's settlement statement. And so it's not really influencing the underwriting. And I and I will often go to the lender, say, lender, here is how we're going to handle it. Do you see any issues? And these have all been flying through. But um it's on the contract. So the underwriter is going to see that commentary, but it won't show up on the buyer settlement statement. So it'll show up on the seller side, a an eighteen thousand dollar credit to Malachi, Roofing or I can't remember the name of the roofing company. So.

**00:22:22 Speaker 1**

Same with the deck we just we got negotiated yesterday. That's a credit going directly to the deck contractor. Um, yeah, the roof contractors. Um, I think there was one trying to think earlier this year and I got a roof, and I can't remember there was a long enough period. No, I still think we did that one after the fact. Um, But part of it, part of the nice aspect of it being done after the fact is. If your client ends up wanting to add some bells and whistles, they can sort of figure that out at that time. Because on all of these projects, Like oh, you want to upgrade the shingles or you want to upgrade, like you want to add additional venting or I don't know, they can sort of worry about that afterwards. So it's just yeah it's easier that way. But that, yeah. So that's a significant grouping. And all these seems to be like a negotiation when you're talking about H, VAC and roof. But.

**00:23:17 Speaker 1**

You know, try. You know, try. You know, The roof could be a deal killer on your your financing. If you are using FHA financing. Like anyway, that's a thing. Um, let me let me flip to this to the seller side. Real quick on on these. This specific thing and I'll tell you what I do to help mitigate the effects of the repair requests that come in. So I ask I ask my seller the same thing on every one of my listings. I ask them how old is your roof? Furnace, water heater, and air conditioner. I ask every time. I then go



back and look at my listings. You're going to see in the agent remarks if it's newer stuff, I throw that in the public remarks like water heater, twenty six, furnace, twenty two, whatever That's super helpful for selling the home But. What I do is I will tuck ugly stuff into the agent remarks. And so like um.

**00:24:15 Speaker 1**

Can't remember if it was a listing, I just put up or a couple of listings. Anyway, you know, a lot of stuff was new. The water heater wasn't. So I made reference of that in the agent remarks. That way when they offer and they come try to come back later and say, hey Craig, water heater's old we want whatever. I say uh agent that was known upfront. It was right there in the listing details. I put the specific year of that so that this would be avoided if you were to come back at this moment. I found that to be like a tail between the legs. You know, someone's listing by your age, I don't care because we're in a buyer's market. I don't care still going to be requested. But, what I've found is a lot of more often than not that the it's a tail between the legs moment and they back away and remove their request. So it's easy and I let, you know, this part of this part of like winning these. These um like winning these listing agreements.

**00:25:09 Speaker 1**

I in part win these listing agreements because I will come in and say, look, we we have superior negotiating strategies. And let me give you just one. I don't want to bore you with all the strategies we use. Let me just give you one example of a strategy that saves you thousands of dollars. And these guys are listening and I say, here's exactly what I do with your, you know, You told me that your AC is new, your water heater is old and your furnace is old. Guess what? I'm going to do on this? Here is how I handled this, and I just let them know. I let the ages of these things be known to the buyer upfront. And a lot of agents, they don't ever do this. I know because you all know this too. Go pull up listings; it's not in there. And so, And I let my clients know the reason why I let them know all this upfront is so that when they go under contract, they already know the ages of these items. And if they try to come back and take another bite of the apple.

**00:26:05 Speaker 1**

After the inspection, I remind them of this and it mitigates the repair requests. The sellers like fall into my hands like just they just love it. And so you say, And you can say that's just one example of negotiating that I do that gives you significant leverage to the tune of thousands of dollars. There are other techniques I also employ, But this is the difference between using a rookie agent and a very experienced agent. It just is.

**00:26:35 Speaker 1**

And so this one of those things, And this one technique I use to help with the repair requests that come in. Now, the second technique I use is obviously the home warranty. I use that obviously all the time. So, we do the home warranty's going to

cover that; these are in working condition. And I will often use this phrase: "You're buying a nineteen fifties home. " Some of the stuff will be new ;. Some of the stuff's not going to be new. We did not advertise this as a brand new home. ;. It's a nineteen fifties home. It should be expected that some things will not be new. You're going to get a mixture of stuff, and this is the mixture this home has. I've used that phraseology and succeeded numerous times as well. But the home warranty, if they keep pushing, fine, we'll buy you a two year warranty. Like you sort of go to where they back off, and I found that two year warranty can be a successful thing as well. And that's been helpful.

#### **00:27:27 Speaker 1**

It's been super rare that my clients have ever had to give any kind of large concession on anything. I'll just let you know that. It's crazy rare because I've been addressing these upfront at the time of offer, and it's great. So yes, sometimes at the offer stage they're going to come in and say, Hey, we saw that the furnace is shot. So we've asked for five thousand in concessions. My seller is going to appreciate that. My seller probably would have given concessions anyway, But now t here is a reason for it that gets that now removes a later request during the repair stage. So, anyway, I am saving my clients, a lot of money on the repairs because of the way I am negotiating it as a listing agent. So it's super awesome.

#### **00:28:08 Speaker 2**

On the seller side with that because I forgot, which uh I think it's aligned warranty with our listings. We get that warranty for our listings, does that, I can't remember does that cover just till the listings. Sold, or does that go until the full? Does that go for a whole year? No,

#### **00:28:27 Speaker 1**

It's just it's just it's just a listing coverage. So a claim warranty and and really I think most not most like I don't know I think many of the warranty companies will offer listing coverage, but Acclaim, we've had a great experience with Acclaim. So I am just running through my stuff through Acclaim. I was impressed with Ivex. Ivex does not have listing coverage. Um, which is fine. Ibex has chosen its own strategy. They have a sort of a thing that they do, and I am sort of i am impressed with their model as well. But it only covers it's free ;. It only covers the listing period, and it's in its cap. So, um if something breaks, it does have a cap, and I think it's one thousand bucks. But, at least t here is something there. That said, And. This is the reason why claimed will do this. : is if a buyer comes and says we want you to pay for.

#### **00:29:18 Speaker 1**

Like a home warranty, you can now say, "Well, I already have one in place with a claim that can transfer to the buyer at a cost. And, they give a discount to the buyer if they're taking over a listing warranty, maybe fifty bucks or something like that." But there's enough where you say, "Hey yeah, The seller will pay for your warranty, but it will be in a claimed warranty and it'll transfer over to the buyer because one's

already in place," et cetera. So that's typically how that one works. Okay, thank you. Okay, so we talked about health and safety. And, then this is what I call the next the last bucket. We just talked about I call big ticket items. And. So and I'll just put it right in my email, like, hey, here are the health and safety issues that are significant buyer's going to back out. Here are some big ticket items that are massive expenses that likewise will cause the buyer to back out if these things are not addressed. And and then you just you just threaten that and um.

**00:30:17 Speaker 1**

Even if even if so you can't lie, but you sort of go to your buyer and get permission to say, Can I be aggressive and give the indication to the seller that these are concerning enough to you that you may that you may back out if you don't, these get don't get fixed or something like that. Get their permission to be honest in the communications, but but you'll want to come in strongly. Threaten this, that and the other, and then see what see what is going what's going to happen. Some people have a Some listing agents have effectively called my bluff sometimes, because I'm asking for way too many things and I. And I'm just following sellers buyers instructions, right. I'm not like, I'm not like coercing buyers into a particular strategy or request amount. And sometimes buyers ask for a lot and we just don't get it. Some some sellers call the bluff and some don't like this other one like I, just steamrolled, steamrolled the seller this week again. And I got the deck, and you if i was a seller i would have but.

**00:31:12 Speaker 1**

I already got big price reductions to begin with. Then I got the deck, And then I got one thousand nine hundred and fifty dollars of other stuff as well. If I were the seller, I would have kicked back hard at that moment because the buyer was still going to buy. They were so ecstatic about the deck that um you know, and they and then they and then they're like, I thought they were going to drop the other requests. They're like, Well, we're super happy with the deck. But Craig can you go back and just push them one more time and see if we can get these other things? And they were totally fine if the seller was going to say no, take a hike. I went back and got 1,950 more bucks from them. And again, it comes down to the phraseology. You're not going to go in there and say, you know, it would be really nice. You know we're really appreciative about the deck, but it would be really nice if we could take care of these other things, too. Like the buyer would like that if possible. I just opened the door in like three different places on that sentence. I just gave you where.

**00:32:09 Speaker 1**

The seller should walk through the door or just close the door and say, "This is not happening." But instead, I went back said, "The deck was. " The buyer expresses significant appreciation for the deck because of its massive safety problems. It needed to be new and we're grateful that the seller recognized that. The buyer still

has great concern about the fact that there's a broken window and that the jetted tub has a leak in it. And I can't remember something else. Um, which in my mind, yeah, I mean those were valid, but the seller could have come back and said, "Look we we understand these things are still problematic. The home's not brand new. We just gave you a twelve thousand dollars deck in addition to significant price reductions." And the seller just is not interested in doing anything else. They feel that you are adequately adequately compensated by everything, we've already negotiated so far. Buyers are going to walk away at that, like buyers are probably still going to move forward. But but you know, I came in strongly enough, the seller didn't push.

**00:33:04 Speaker 1**

Had the seller pushed, I probably would have pushed back still. Why? Because, we have time in the due diligence to keep pushing and pushing and pushing until the due diligence deadline comes up. And so, but this seller just folded again and said, "Fine, I'll give you nineteen fifty thousand nine hundred fifty bucks." And my buyer's like, "Dude Craig, you just you're putting money in my pocket man." And this is why you hire an experienced agent. So those are the main things. I'll note a couple other things here. One thing I will note is this, It is be the agent that acts as if this your purchase or that this a purchase of your sibling and treat the negotiations as such, because I've seen agents where you're representing the buyer, inspection requests, their inspection's done. You're looking down the list, you're like, eh there's some issues with the home.

**00:34:02 Speaker 1**

There is, you know, And but you know it's like man, it's going to take a little bit of your time and mental capacity to fight with the listing agent about some repairs. And if you really bring up too many concerns to the buyer, what if they back out? Then I am going to have to they're going to, i am going to be back out on the street with them. I am going go see multiple homes and maybe it's not convenient my schedule right now. And that's just that's just not being the fiduciary that you need to be. Stopping the agent you need to be. And so I, you know, I look at these like this happened just on a deal that just closed maybe two or three weeks ago. I got the inspection report back and I'm like, oh my gosh. There's, there were just a number of issues on it. And um electrical pack. Electrical panel was under capacity like so under capacity that they couldn't, they couldn't even add an air. There was no air conditioning unit in the home at all anyway, but the electrical panel wouldn't have even been able to support one.

**00:35:00 Speaker 1**

F1 was was put in. In addition to galvanized water issues, water heater had issues. There were there's number of things and then the sewer main had issues. There are a number of things, And it would have been easy for me at that point to just I. Don't know, say, well, buyer, you know, that's the size of the electrical panel and it's

galvanized water line has just been that way. It was code at the time was put in, and um you know just sort of just kept the negotiation to the sewer Issue that we that we came across, but I am like, I got to gear up and fight on everything. Which I did. I went back and I went to the seller and said issue, issue. And I came across the language we talked about. I got absolutely everything I requested. So many things it was a three hundred and five thousand dollars purchase. I ended up increasing the price of three ten because we asked for like thirty, it was well over thirty thousand dollars of repairs.

**00:35:56 Speaker 1**

And the appraisal came in five thousand above purchase price. I went back to the seller and said, look, the most this home can go can sell for is three hundred and ten. That's what it appraised at. We're at three hundred and five. The buyer's willing to go up to the full max appraisal, but cannot go forward but can't go forward unless these other items are addressed, which is like thirty plus thousand. The seller just paid it paid every single one of those things over about ten percent of the value of the home. Anyway, It was pretty. It was pretty awesome Do.

**00:36:22 Speaker 2**

You have a preference with that of like whether. You because there's only I guess like lender standards. There's only a certain amount of money they can put towards concessions. I think like conventional, it's like three or six percent. But where do you typically, like your go to, Like do you ask for concessions or just reduce in price or have them just pay for it?

**00:36:43 Speaker 1**

So so if the if the repair money is going directly to the contractor, it does not count as a seller contribution to the buyer. So you you could have, Twenty percent of the home go directly toward a contractor.

**00:36:59 Speaker 2**

Oh, okay. Actually, I did not know that.

**00:37:01 Speaker 1**

Yeah, so that's yeah. So you're yeah, but that's a great question. I yeah. And on this one, I already had negotiated seller concessions toward repair, like not for repairs toward closing costs. And then in this one, the seller was actually a flip company and they had contractors. So they just they repaired it all prior to closing on this on that particular one, they got all the repairs done. We extended the dates. They redid all the repairs, and then my buyer inspected it, said it looks good, closed. So try to think of any other things. Those are sort of the buckets of negotiations. But I guess, let me go over the ones that are just not going to succeed that come up on inspection reports that just never succeed, that I've never seen succeed in the history of ever. And so when you get a buyer agent request on these things, you know they're a rookie.

**00:37:50 Speaker 1**

I'll just say that. And so I'm probably not going to be give you a comprehensive list, but let me give you some negative slope with the yard. That's common on older homes. It's not correct. Like, You don't want to have a negative slope where water could be like percolating back toward the foundation, but it's common. Um You're never going to get that on our negotiation repair trees that are sort of like I don't know trees that have. Well, I take that back. There can be some tree issues you might be able to negotiate where there are power lines and trees getting in the way because it's safety. Cracks in the concrete never succeed as in ever, because they are one hundred percent visible during the time of the walkthrough. So if you if you're if the driveway is pitted, spalling, if the if there's like.

**00:38:47 Speaker 1**

Like displacement in the sidewalk because of settling issues, you're never going to get any of that successfully negotiated ever. So I tell buyers, it's not going to ever work. Like it doesn't. And whenever requests come in on the seller side and I'm representing a listing agent, I say, I tell them in kind words, go take a hike. You already saw that before you went under contract. It's not fair to come back now. Um carpet if you're representing the seller, you should never cave on carpet, After the fact, now at the time of negotiating the initial offer, yes. After the fact, it is a heck no. Like you already knew the carpet condition when we went under contract. Nothing is different. Now that you've had the inspection, and it's not fair for you to come in and ask for additional help. Um okay, go yeah. Go ahead, go ahead.

**00:39:35 Speaker 3**

Joel can I be a devil's advocate on this, yeah. I probably did it wrong. I see what you're saying. So, I have a home. I'm literally sending the resolution of due diligence today. The upstairs was occupied, and there was an indication of a pet smell and wear and tear, so I thought about putting it in the original offer, but I didn't because I was like, all right, let's do the inspection and see. And when we walked through the second time, it just smelled really, really bad and I was like man this really should be replaced.

**00:40:08 Speaker 3**

So I am asking them to replace the carpet. Do you feel like because I didn't put it in the original offer, they'll tell us take rocks?

**00:40:19 Speaker 1**

If I'm the listing agent, I will tell you that. But look, Maybe you're dealing with a listing agent. That's not as just adept at that kind of negotiation. And maybe you'll get it. So yeah, if you're representing the buyer, by all means go ask for it. Okay. But are you negotiating these verbally? Are you first, or are you writing?

**00:40:43 Speaker 3**

No. The seller's agent ticked me off a little bit because he asked me how the



inspection went before we got the report. And I said it went okay, But you're definitely going to want to see the inspection report based on what he flagged to us verbally. And he's like, oh, I don't send inspection reports to my sellers unless they specifically ask it. So I'm like, okay, well, if you don't do that, then I didn't tell him this. I was like, They're not going to have any context on why we're asking for what we are, unless you send it to them. So instead of having a verbal conversation, I'm putting it all in the resolution of due diligence, so he has to present it to them with page references to all the reports.

**00:41:23 Speaker 1**

I see. Okay. So what? Okay. Okay. I've got multiple comments on this. First of all, The listing agent is under fiduciary responsibility and state law to provide that to that document to their seller. Like they, and it comes it's under the principle of agency. What the what the agent knows, the principal knows. And if you've provided them an inspection report, that's so much knowledge. There is absolutely no way it conveys to the seller without giving them that same document. So, there's no way for you to fulfill your agency responsibility. What you as an agent knows that the principal is now bound to also be uh to also know the same details.

**00:41:59 Speaker 1**

So they have to provide that document, and that would be under fiduciary responsibility. Like, that is a requirement; they have to send that every time. They have to. Now, What you are saying is also correct : that addenda like offers and including now you are under contract. But you are not presenting an offer have to be presented. So, you are correct; we'll get in front of the seller. Here is where you could run into a potential issue in underwriting. Is this a cash deal or is this is this financed?

**00:42:29 Speaker 3**

No, it's it's financed. And, that was in the back of my mind of we I'm trying to force the seller's agent hand here, Even though I know he's supposed to by including a very detailed list versus the four like the four bullet points we want.

**00:42:48 Speaker 1**

So here here's here's where it may play to your advantage, but you may have a hoop you now have to jump through. But let's let's go through this so, When you reference the inspection report in the RePSI, the underwriter now has the ability to request the report. If it's not ever referenced, the underwriter can never say, "Certainly, we want in our files." They can ask for it. But if it's referenced they can say, "Oh we see that an inspection report is referenced. We want in our files." Then once they receive it, The lender now may say, hey, now that we've seen this, we're not doing the deal unless these particular things are completed.

**00:43:25 Speaker 1**

Um, which so so from your standpoint as a buyer agent, This may help you in your

cause because now the lender may come in and require it, or you are going to back out. But it may shoot you in the foot because the lender may require it, Seller may just dig in, and then the lender is going to not finance the deal. And now you are required. And here's the problem. If you say, okay, fine, we'll get a new lender. Well, That next lender will see the same Reps C, and you cannot delete stuff from the Reps C. Like when it's when it's signed. So, it doesn't become part of the official record unless it gets signed by both parties in this particular case. So, let's say you submit. So and I've had this where I have the listing agent and and the buyer agent submits their repairs in writing and I'm looking through them like, okay, there are five requests for repairs.

**00:44:15 Speaker 1**

The seller's good with three of them. I don't counter back saying, We'll do these three, but leave these other two undone, because the lender now sees, Oh, you didn't fix the double tapped wires, or you didn't fix the leaking the faucet, whatever it may be that you did not fix. The lender now knows about it, and they can now stipulate for it to be fixed. And. So if the buyer submits to me in writing and I know that the seller won't accept it as written, I let that addendum lapse. I and then I contact the other agent and say, "Look, let's agree upon these verbally," and then have you resubmit what we've verbally agreed upon. That way, what's submitted in writing does get signed, and the lenders are good with that. Like if you ask for five repairs, the seller does says, "I'll do these five repairs." At most the underwriter will say, "I want confirmation before closing that the repairs were completed to the buyer's satisfaction."

**00:45:12 Speaker 1**

So at most, that's what the buyer's underwriter is going to ask for. So you are opening yourself to a little bit of a potential. You might be walking into a hornet's nest, in other words, Because if the seller counters you and you go back and forth in writing and come to some agreement, and like some of the things you requested, don't get done, the underwriter may come back and now stipulate that they get done. And may also stipulate receiving a copy of the inspection report.

**00:45:41 Speaker 3**

Yeah, that was it's been in the back of my mind, But I am also just not confident the seller will be given everything they need to help us. And to be frank, Like my buyer can't afford to deal with a lot of these repairs after closing. So I would almost rather have the risk of them being like, hey, you have to fix this to qualify. That way, the seller is like, oh, well, if I want to do this deal like. I need to get these things fixed, which they really should, in my opinion.

**00:46:16 Speaker 1**

Perfect. Well then the strategy you're using will bring some additional firepower to it. When is your due diligence deadline?

**00:46:24 Speaker 3**

July 31 st.

**00:46:25 Speaker 1**

Okay. And I love that too. I love that you're getting this process negotiated. I hate when it's just stressful when it's same day like, well my deadline's in five hours and nine minutes, It gets really hard at that point. And typically, what I do to sort of take the pressure off is I'll submit, you know, a due diligence deadline request, you know, extension from the seller. Like representing the seller and say, look, We need a couple days to have our, we need like a few days to have our own contractors. Look at this and give us enough time to evaluate your request. You know stuff like that. Um good.

**00:47:00 Speaker 3**

We're giving them till Tuesday to respond because I think they're going to want to get their own bids. Because we're we're asking for about thirteen thousand dollars worth of work.

**00:47:10 Speaker 1**

Are they do they fall under the safety and health, or big ticket items?

**00:47:16 Speaker 3**

Half of them do yeah. So it's it's a house hack in Provo. And it is, The owner cut a ton of corners to, like, for example, he installed his own water heater and nothing's up to code outside of the fact the water heater is there, um. You have.

**00:47:35 Speaker 3**

Just some other things like the toilet, Like the toilet is like toilets are cracked and are going to probably fall apart. If someone sits on, it's just it's not a rentable, it's not a truly rentable ADU. And. They need to remedy a lot of that that risk profile for the buyer. I agreed. Uh, is this in promo? It is. Yeah, it was a home built in the fifties reconfigured to be an ADU. Jeff cut corners.

**00:48:04 Speaker 1**

So what you can do, and this uncommon knowledge about real estate in Provo, but it's appropriate to get what's called a zoning verification letter. This something specific to Provo. I believe in the past, and I don't know if it still exists today, but I always do this regardless on all my Provo deals. Is I believe Provo required the zoning verification letter to be included with any purchase. So sellers were required and obligated to provide the zoning verification letter to a buyer. And it stipulates exactly how Provo is going to view the property, whether it can be rented, To like like how many people can occupy it, if it has a legally like all that stuff. Parking and things of that nature because some properties have a gifted like one off street parking, for instance. And,

**00:48:54 Speaker 3**

They'll tell you Provo's for. They sent a screenshot of what appears to be an email that at a high level says this can be an ADU. This is the zoning, and you have to have four parking spots. And then they're like, "Here is the list of other things you need."

**00:49:09 Speaker 1**

Mm hmm. Perfect. I would always do that for Provo because and they are particular, but they're they're the only ones zoning verification letter. So so you may for kicks you, could it costs money, like fifty bucks, something like that to go get it done. Um but when I am representing a seller, I get it i get that letter when I am representing a buyer, I ask the seller to give me that letter Okay.

**00:49:31 Speaker 3**

Yeah, I'll double check if that's the name of it. Um, but yeah we'll we'll see how it goes. The seller is convinced this is the hottest deal in Provo and on the exterior, it is very nice, but the bones are there's so many skeletons in the closet. Hmm. Um oh sorry if we're off topic just skip me. I was just curious when you um a negotiation standpoint with the inspection on um. Sorry, not out breaker panel. So the breaker panels are they look original to the house. They're like seventy years old. Um, they really should be replaced. Um, The home works as is, but it it's kind of one of those gray areas to me of like it. It kind of is a safety issue. There is no main breaker shutoff um like.

**00:50:25 Speaker 3**

If he sells this thing, a buyer's for sure going to ask for this to get fixed. And the bid came back at five grand to replace two panels. We're asking for it, But I don't know if that is a reasonable request, given it's a Provo house.

**00:50:42 Speaker 1**

It is reasonable, and you are right that it sort of falls in a little bit of gray area. But I just had a Provo and actually ironically in Provo, I just had successfully completed that negotiation representing the buyer. I asked for the same thing for the, A new electrical panel, And I just and I just I just stated it in the terms like this:. This is for sure a safety issue. The buyer will back out if this is not addressed, And if you and if you sort of use that kind of language, then it increases the chance of success.

**00:51:13 Speaker 4**

Carol, sure. I just had I just recently had two sellers where we did pay that concession for that very reason.; they weren't in Provo. One was in holiday, and the inspector said that it actually was not up to code. So yeah,

**00:51:31 Speaker 3**

These are definitely not up to code. And, let me show you the exterior outlet just to see how well they maintain their. Yeah, that's a wasp's nest. That's crazy.

**00:51:45 Speaker 1**

I know like they opened it and they're like, well we can't check the exterior one but the.

**00:51:52 Speaker 3**

All right, awesome. Well, That brings me comfort and my again, my buyer, he he's aligned, and he wants to do all of this. But like we're we're framing it as these are all safety ADU related items that have to happen to get a permit and close on the home, which most of them are. And, they let their friends live upstairs as renters, who destroyed the house, and it smells like pet urine. So. Yeah, we do want you to replace the carpet. Yeah, we want you to replace the blinds. Um, anyways, I don't think they're going to love the email. I wouldn't love it either. But the home is not in good shape like they think it is.

**00:52:37 Speaker 1**

Yeah, the next buyer is going to reasonably request those things too. And, here's the thing like again, if let's say you back out, and you've provided the inspection report to the seller's agent. And let's say the seller's agent does not forward that to the seller. Then they go under contract with a new buyer. That seller's agent, sorry, That seller is now under obligation to provide that report to the next buyer because it's what you know about the property. If the seller is unaware that that inspection report exists, the seller's agent is completely on the hook for stuff on that. And so you, you are when an agent's not passing that along to the seller, they're opening themselves up to liability and yeah.

**00:53:20 Speaker 1**

So when when a subsequent buyer comes along, you have to just hand over the inspection report. Even if you don't like it, you can say, look, I don't agree with some of the things that this inspection report, you know determined. And and you can refute this out or the other, but it's safest to still provide it. Um anyway,

**00:53:35 Speaker 3**

So Can I give another scenario? Or can you do You want to move on?

**00:53:39 Speaker 1**

No, we're yeah I mean, we got a couple minutes left, but yeah, give us another scenario. That's all good Okay.

**00:53:43 Speaker 3**

It's the same house. They had the roof replaced last month, and it's barely rained. So it's hard to know if it will work, but. The inspector flagged, um, there's two flashings that stick out. And instead of properly removing them and installing and putting it all around it, they built a mountain of asphalt shingles and a crap ton of caulk. So, literally, it's a mound of shingles and caulk around the flashing to seal it. So again, they cut corners on the install of the roof.

**00:54:17 Speaker 3**

So our ask is, hey, go back. You've got to have a warranty, and they shouldn't they should properly install the flashing and shingles, because you literally made a mountain of it with caulk, praying that it seals, the roof. And, we won't we won't know if that will actually be the case when it rains. Um, I just don't know what to do if this there's like now or it's fine, it works. Um, it's not covered by warranty. And I don't even know if a roofing contractor warranty transfers to a new owner. I would hope it does.

**00:54:51 Speaker 1**

The ones I've worked with, it does okay, but yeah, Butum you've you've correctly asked and and you could get a copy at a minimum, have them provide you a copy of the contact info for the roofer. You could talk to the roofer as well. Um you've requested like your correct. And once here's what's like ideally you could just. Take a hose and and shoot it up there, but but we're not allowed to do destruct. That's called destructive discovery. You can't really do that on on some listings. You can't do destructive discovery.

**00:55:24 Speaker 3**

We peeked up in the attic and you couldn't see any light or holes, so we're like it's covered,

**00:55:30 Speaker 1**

But I think it's less likely you're going to get them to fix that. And the buyer may just have to assume the risk. That's my guess. Okay.

**00:55:41 Speaker 3**

And then last one is they did the sewer scope from the roof, but the pipe's like this. Over time, bacteria has created a block on the top. So sludge they can't get through the roof. So they had to go through an out uh sewer access in the front. But we, The guy who did it, He's like, hey, I was a I'm um a drain tech. And he said, if that piece of sludge falls down into the main pipe, your whole house is going to get blocked.

**00:56:11 Speaker 3**

Um, So we're asking the seller to jet it out and push it to the sewer main. But it was all verbal from the drain tech. We don't have pictures, nothing outside of the fact of what he told us. Um. It's one of those, like the home's fine right now, but like it's a ticking bombshell time bomb, right? I don't know. It's just like stuff like this. That's like, you know, I can't really prove it outside of words. But like again, like. The risk profile for this home keeps getting worse.

**00:56:44 Speaker 1**

Agree. What I would do in that case is you give them the name of the phone number of the guy, that tech. Okay, that's for sure one I would request absolutely. Okay,



**00:56:58 Speaker 3**

Okay, I'll put that in the lengthy email that I am sending after this call.

**00:57:03 Speaker 1**

Good work man, thanks Thanks for chiming in Joel Carter Thanks for hanging out here Looks like Ash had to bounce, but. You guys have an awesome day.

**00:57:10 Speaker 3**

I'm going to come to your office. I have a different thing to ask you.

**00:57:13 Speaker 1**

Okay, sounds good. Thank you.

**00:57:16 Speaker 2**

I'll send you a Marco Polo. Okay, Sam, thanks Carter. Yep,

**00:57:19 Speaker 3**

Bye- bye.